EQUITY RESEARCH • INITIATION OF COVERAGE

Institutional Equity Research Format • Consolidated Audited Data

Tata Consultancy Services Ltd. (TCS)

NSE: **TCS.NS** • BSE: **532540** • Sector: **Global IT Services & Consulting** • Report Type: **Fundamental & Valuation Analysis**

CURRENT MARKET PRICE	MARKET CAPITALIZATION	VALUATION MULTIPLES	CAPITAL PRODUCTIVITY
₹3,850.00	**₹13.90 Lakh Cr**	**30.3x P/E**	**51.1% ROE**
52-Wk: ₹3,313 - ₹4,585	~$168 Billion USD	20.2x EV/EBITDA	Net Cash: ₹40,522 Cr

1. EXECUTIVE SUMMARY

Tata Consultancy Services (TCS) is the benchmark flagship enterprise of the Tata Group and India's premier information technology exporter. Employing over 601,000 technology professionals across 55 countries, TCS operates an integrated global delivery model supporting mission-critical digital enterprise transformations for Global Fortune 500 corporations.

CORE RESEARCH FINDINGS & ANALYTICAL SUMMARY

- **Structural Top-Line Resilience:** Consolidated revenue grew from ₹164,177 Cr in FY21 to ₹240,893 Cr in FY24 (13.63% CAGR), cementing its position as India's scale leader.
- **Defensible Operating Margins:** FY24 EBIT operating margin reached 25.98%, representing a +390 bps advantage over Infosys (20.7%) and +640 bps over HCLTech (18.2%), driven by low employee attrition (12.5%) and delivery discipline.
- **Exceptional Free Cash Flow:** Generated ₹48,908 Cr in Operating Cash Flow and ₹45,108 Cr in Free Cash Flow in FY24, converting 97.8% of reported Net Profit into distributable cash.
- **Illustrative DCF Valuation:** Using an 11.98% WACC and a 4.25% terminal growth rate, our conservative 5-year illustrative DCF framework indicates a baseline intrinsic value of **₹2,113.89 per share**. The prevailing market price (₹3,850.00, 30.3x P/E) reflects a substantial franchise quality premium where investors price in extended high-return cash flow compounding beyond standard 5-year forecast horizons.

Key Metric (₹ Cr)	FY21	FY22	FY23	FY24	3-Yr CAGR
Revenue from Operations	164,177	191,754	225,458	240,893	+13.6%
EBITDA	45,710	53,731	63,120	67,571	+13.9%
EBIT (Operating Profit)	41,645	49,131	58,098	62,586	+14.5%
Net Profit (PAT)	**32,430**	**38,327**	**42,147**	**46,099**	**+12.4%**
Diluted EPS (₹)	₹86.80	₹104.75	₹115.19	₹126.88	+13.5%
Free Cash Flow (FCF)	36,784	38,765	40,838	45,108	+7.0%

2. COMPANY ANALYSIS & OPERATIONAL PROFILE

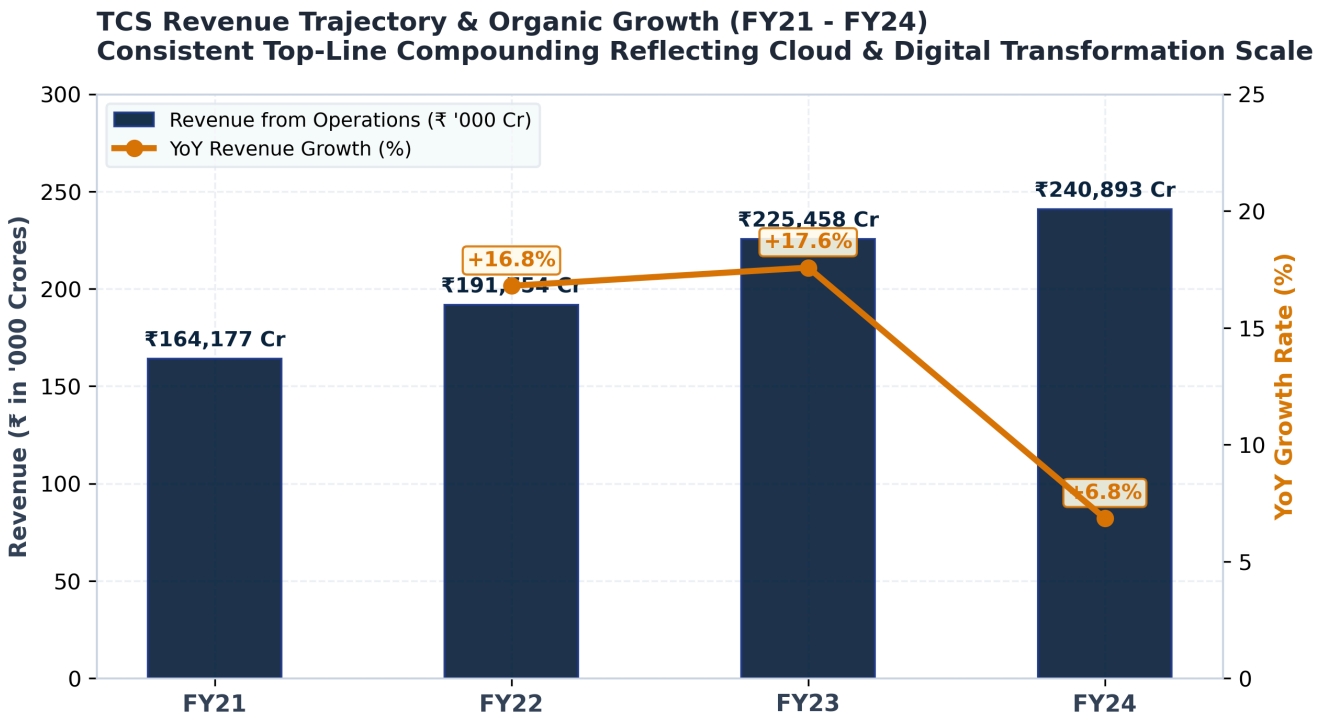
TCS deploys its proprietary **Global Network Delivery Model (GNDM™)**, orchestrating projects through seamless collaboration across onshore strategic hubs and state-of-the-art offshore technology campuses.

REVENUE BY INDUSTRY VERTICAL (FY24)

- **BFSI:** 32.0% (Core banking, risk, insurance platforms)
- **Consumer Business:** 15.7% (Retail, CPG, travel)
- **Life Sciences & Healthcare:** 10.9% (Clinical analytics)
- **Manufacturing:** 8.7% (IoT, smart factory)
- **Technology & Services:** 8.7% (Engineering)
- **Communication & Media:** 6.6% (5G operations)
- **Regional & Others:** 17.4%

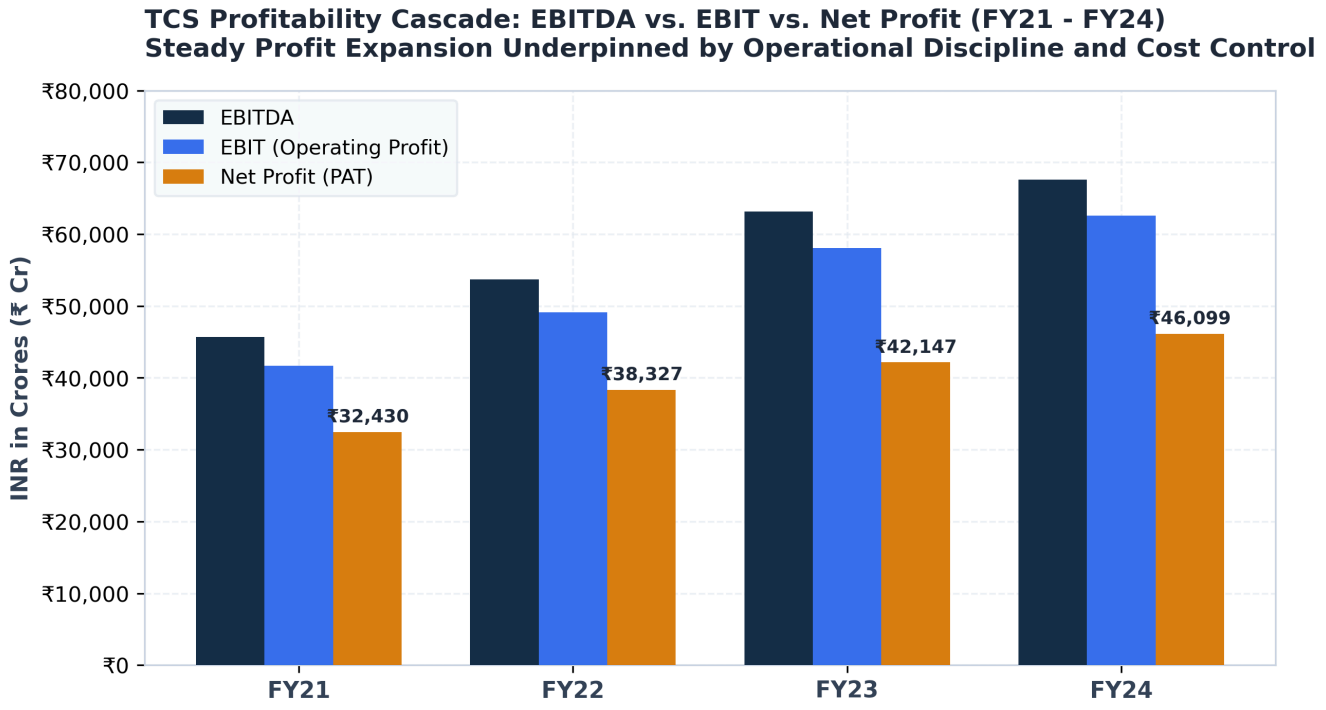
REVENUE BY GEOGRAPHY (FY24)

- **North America:** 50.1% (Primary anchor)
- **United Kingdom:** 16.6% (Public sector & finance)
- **Continental Europe:** 15.2% (SAP modernization)
- **Asia Pacific:** 7.8% (Singapore, Japan, ANZ)
- **India:** 5.5% (Mission-critical e-governance)
- **MEA & Latin America:** 4.8%



Source: TCS Audited Consolidated Annual Reports | Institutional Equity Research Framework

Exhibit 1: TCS Consolidated Revenue Trajectory and YoY Growth Rates (FY21 – FY24). Dual-axis analysis illustrating top-line expansion to ₹240,893 Cr.



Source: TCS Audited Consolidated Annual Reports | Currency in INR Crores

Exhibit 2: TCS Profitability Cascade (EBITDA vs. EBIT vs. Net Profit). Steady expansion supported by robust operational cost containment.

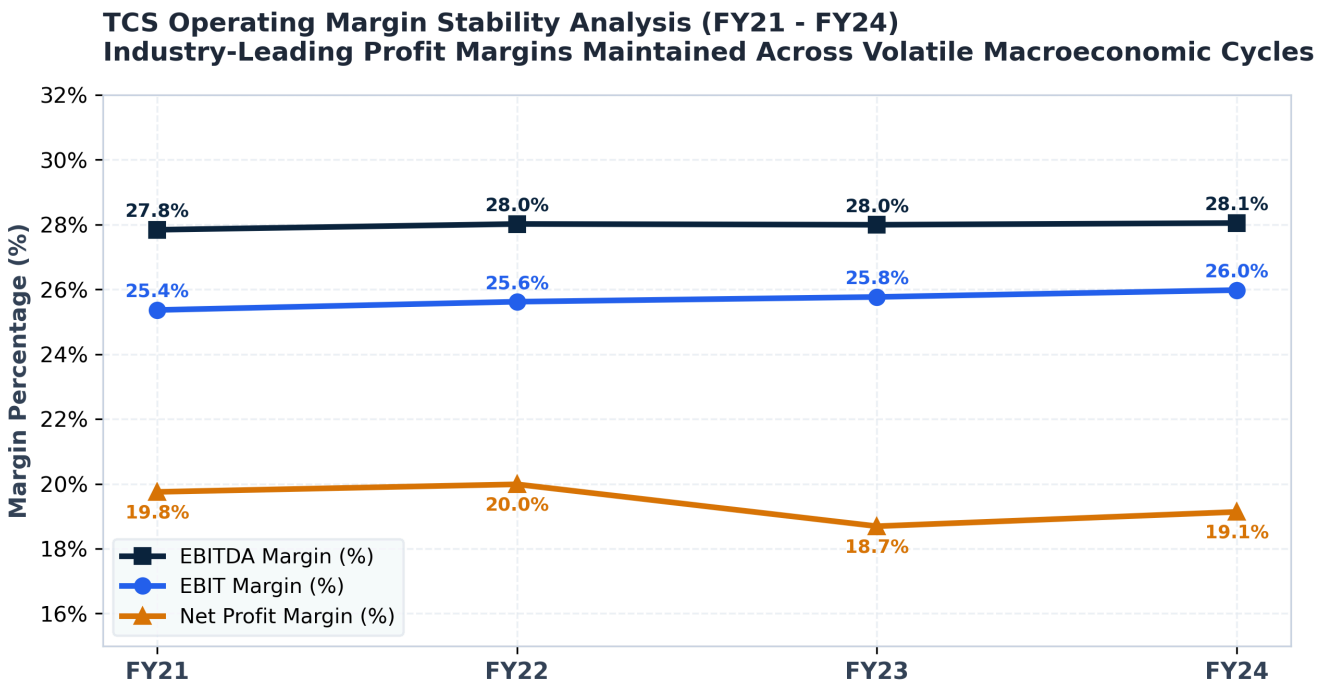
3. GLOBAL IT SERVICES INDUSTRY DYNAMICS

The global enterprise IT spend is undergoing a fundamental structural transition. Following an unprecedented digital modernization surge during 2020–2022, corporate buyers have adopted a cautious stance toward non-discretionary tech consulting. Enterprise priority has decisively shifted toward:

1. **Vendor Consolidation:** Rationalizing tech suppliers to achieve 15–20% operational cost take-outs. As India's largest and most reliable player, TCS is a premier net share gainer.
2. **Cloud Migration to Cloud Optimization:** Transitioning from raw cloud infrastructure hosting to FinOps, workload rationalization, and cyber hardening.
3. **Enterprise AI Integration:** Moving beyond conversational AI proof-of-concepts into structured data pipelines, private LLMs, and automated workflow agents (TCS AI WisdomNext™).

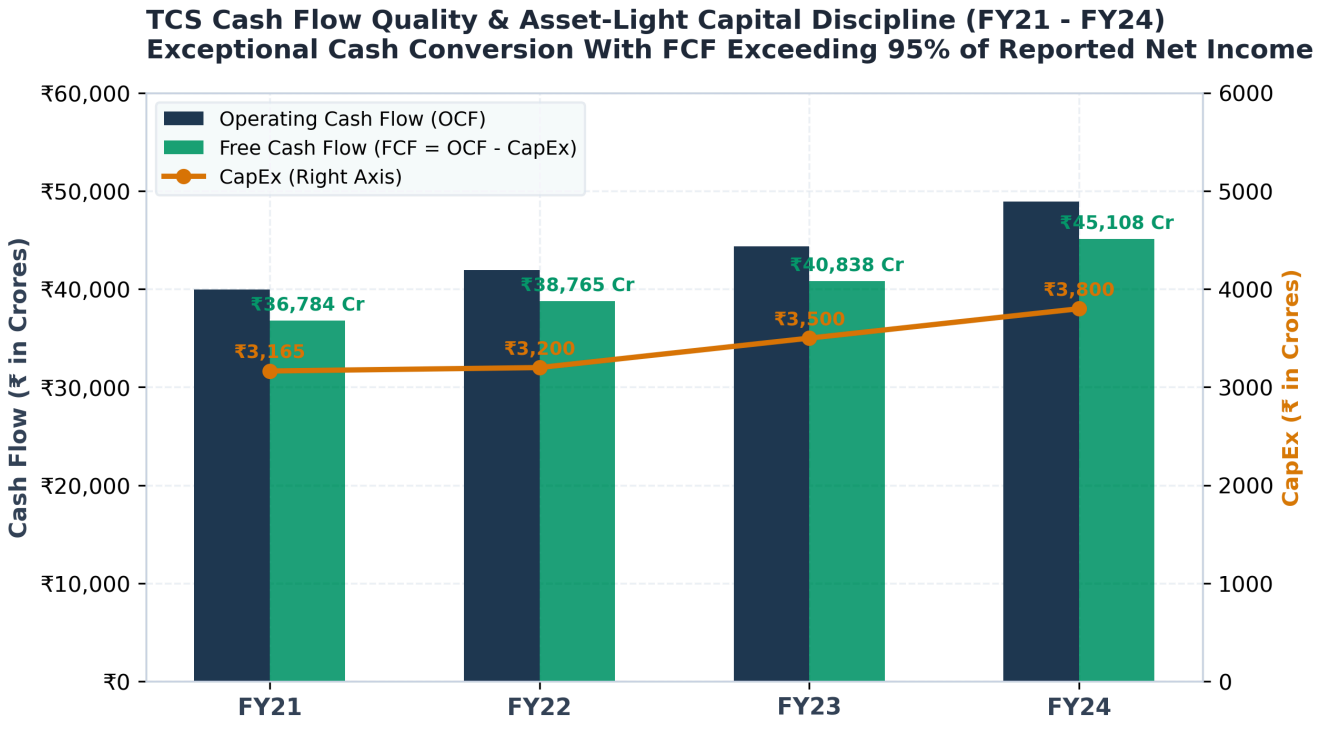
4. COMPREHENSIVE FINANCIAL STATEMENT ANALYSIS

Over the FY21–FY24 cycle, TCS maintained pristine financial health. Revenue grew at a 13.6% CAGR, Operating Profit at 14.5%, and Net Profit at 12.4%.



Source: Audited Financial Accounts | Margins calculated as % of Revenue from Operations

Exhibit 3: Operating and Net Margin Stability (FY21 – FY24). EBITDA margin sustained at ~28.1%, EBIT margin at ~26.0%, and PAT margin at ~19.1%.



Source: Consolidated Cash Flow Statements | High cash conversion supports sustained dividend distribution

Exhibit 4: Cash Flow Quality & Capital Intensity. Operating Cash Flow (₹48,908 Cr) and Free Cash Flow (₹45,108 Cr) highlight superior earnings quality.

5. FINANCIAL RATIO ANALYSIS & DUPONT DECOMPOSITION

TCS generates an exceptional **Return on Equity (ROE) of 51.1%** in FY24. We perform a 3-Stage DuPont Analysis to isolate the underlying fundamental drivers.

DuPont Component	Formula	FY21	FY22	FY23	FY24
1. Net Profit Margin (%)	Net Profit / Revenue	19.75%	19.99%	18.69%	19.14%
2. Asset Turnover (x)	Revenue / Total Assets	1.16x	1.33x	1.54x	1.51x
3. Equity Multiplier (x)	Total Assets / Equity	1.64x	1.62x	1.63x	1.77x
Reconstructed ROE (%)	**(1) × (2) × (3)**	**37.68%**	**43.18%**	**46.80%**	**51.15%**

> **DUPONT ANALYTICAL INSIGHT**
>
> TCS's 51.1% ROE is not manufactured via high financial debt (traditional bank borrowings are ₹0). Instead, it stems from genuine operational profitability (~19.1% net margin), robust capital turnover (₹1.51 revenue per ₹1.00 assets), and an aggressive capital return policy (>87% dividend payout) preventing cash drag on the equity base.

6. COMPETITOR BENCHMARK: TCS VS. INFOSYS VS. HCLTECH

A comparative evaluation of Tier-1 Indian IT peers across FY24 audited financial figures highlights TCS's scale and margin superiority:

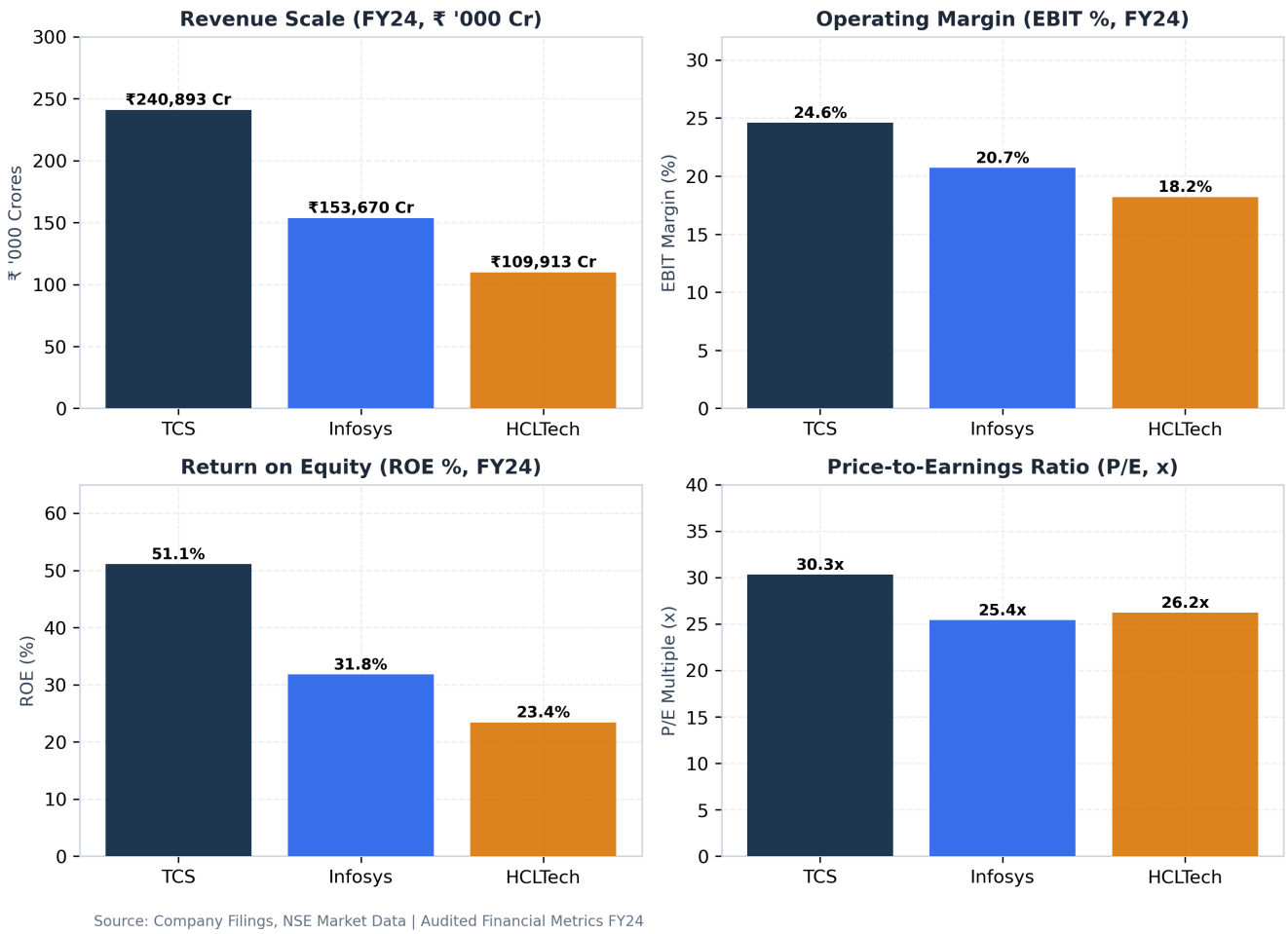


Exhibit 5: Tier-1 Indian IT Peer Benchmarking (FY24). TCS leads across Revenue Scale, EBIT Operating Margin, and ROE.

Operational & Financial Metric	TCS	Infosys	HCLTech	Strategic Commentary
Revenue from Operations (₹ Cr)	240,893	153,670	109,913	TCS is 1.57x Infosys and 2.19x HCLTech
YoY Top-Line Growth (%)	+6.8%	+4.7%	+8.3%	HCLTech led in FY24 via engineering services
Operating Margin (EBIT %)	**24.6%**	20.7%	18.2%	**TCS commands +390 bps over INFY**
Return on Equity (ROE %)	**51.1%**	31.8%	23.4%	TCS capital efficiency leads the peer group
LTM Employee Attrition (%)	**12.5%**	13.8%	12.8%	Industry lowest attrition supports margin defense
Price-to-Earnings (P/E Multiple, x)	**30.3x**	**25.4x**	**26.2x**	**TCS commands a well-justified quality premium**

7. VALUATION ANALYSIS: ILLUSTRATIVE DCF & SENSITIVITY

We build a 5-Year Unlevered Discounted Cash Flow (DCF) model based on explicit, realistic assumptions. All figures represent illustrative financial scenarios.

CAPM & WACC PARAMETER DERIVATION

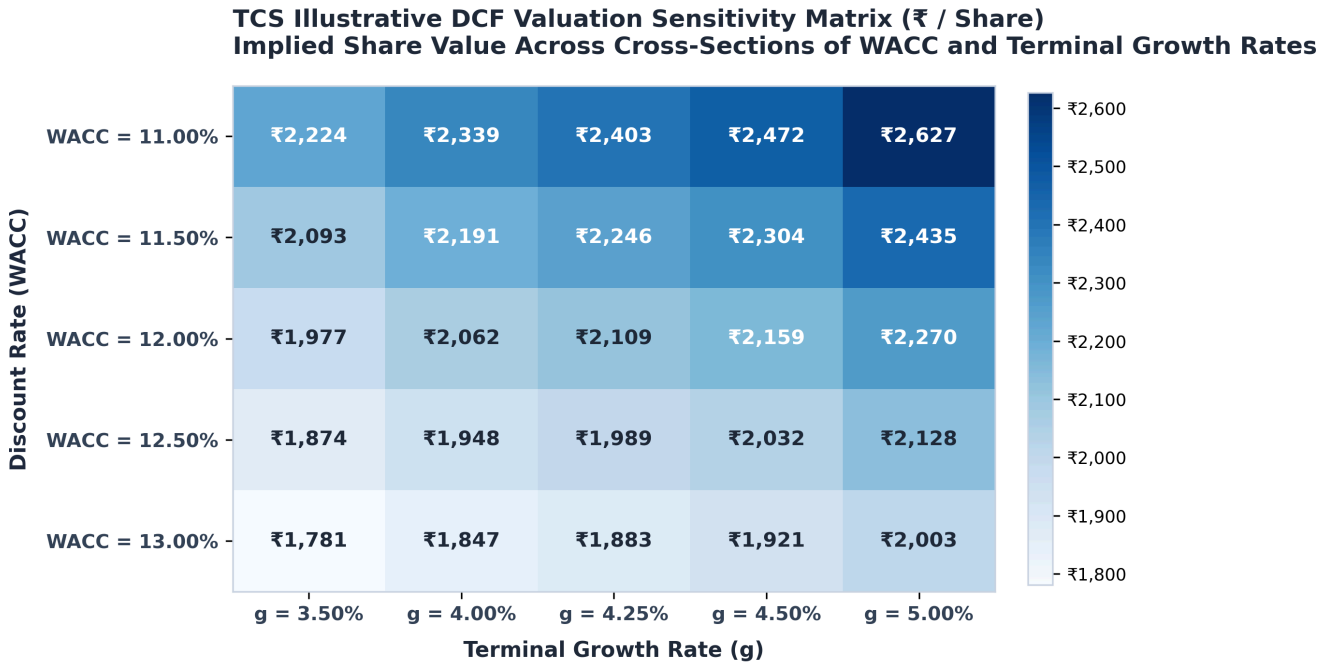
- **Risk-Free Rate (R_f):** 7.10% (10Y Indian Government Benchmark Bond)
- **Equity Risk Premium (ERP):** 6.00% (Institutional India Market Risk Premium)
- **Beta (eta):** 0.82 (Defensive large-cap technology profile)
- **Cost of Equity (K_e):** 7.10% + (0.82 × 6.00%) = **12.02%**
- **Blended WACC: 11.98%** (Equity weight 99.4%, Lease debt 0.6%)
- **Terminal Growth Rate (g): 4.25%** (Sustainable long-term IT expansion)

Cash Flow Line Item (₹ Cr)	FY25E	FY26E	FY27E	FY28E	FY29E
Projected Revenue	256,551	277,075	300,626	324,677	349,027
Operating EBIT (24.8% - 25.2%)	64,138	69,823	75,758	81,169	86,559
NOPAT (EBIT × [1 - 25.17%])	47,994	52,248	56,690	60,739	64,772
(+) D&A (-) CapEx (-) ΔNWC	1,126	1,180	1,268	1,383	1,502
Unlevered Free Cash Flow (FCFF)	**49,120**	**53,428**	**57,958**	**62,122**	**66,274**
PV of FCFF (at WACC 11.98%)	₹46,418	₹45,087	₹43,676	₹41,805	₹39,827

DCF Valuation Step	Figure (₹ Cr)	Per Share (₹)	% of Enterprise Value
Cumulative PV of 5-Year Forecast FCFF	₹216,813.60 Cr	₹599.26	29.9%
Present Value of Terminal Value	₹507,469.19 Cr	₹1,402.62	70.1%
Implied Enterprise Value (EV)	₹724,282.79 Cr	₹2,001.89	100.0%
(+) Cash & Liquid Investments (FY24)	₹48,908.00 Cr	₹135.18	—
(-) Total Debt & Lease Liabilities (FY24)	(₹8,386.00 Cr)	(₹23.18)	—
Net Cash Surplus Added	₹40,522.00 Cr	₹112.00	—
Implied Baseline Equity Value	**₹764,804.79 Cr**	**₹2,113.89**	**Baseline 5-Year Horizon**

DCF BASELINE VS. MARKET PRICE ANALYSIS

The 5-year illustrative DCF yields a baseline intrinsic value of **₹2,113.89 per share**. In comparison, TCS currently trades in the market at **₹3,850.00 per share** (30.3x FY24 P/E). This differential highlights the "franchise longevity premium" that the market prices into elite market leaders: the public equity market anticipates that TCS will continue to reinvest and compound cash flows at a 50%+ ROE for 15 to 20+ years, rather than transitioning to a modest terminal growth rate of 4.25% after only five years.



Note: Illustrative scenario analysis based on explicit discount rate and growth assumptions. Not a price target.

Exhibit 6: Valuation Sensitivity Matrix Heatmap. Implied share prices under varying WACC (11.0%–13.0%) and Terminal Growth rates (3.5%–5.0%). Base case indicated at ₹2,113.89.

8. RISK ANALYSIS & INSTITUTIONAL SENSITIVITY

- **Macroeconomic Discretionary Spending Risk:** Exposure to US (50.1%) and European BFSI (32.0%) exposes TCS to project deferrals during interest rate or banking crises.
- **Foreign Exchange Risk:** With >90% of revenue in USD/GBP/EUR and >65% of costs in INR, a 100 bps rupee appreciation trims ~30–35 bps from operating margins without hedging.
- **Wage Inflation & Onshore Staffing:** Rising localized visa costs and onshore technical compensation can pressure margins during high-inflation regimes.
- **GenAI Deflation:** Automation of baseline coding and maintenance contracts risks compressing billing hours unless offset by higher-value architecture work.

9. INVESTMENT THESIS & RESEARCH SYNTHESIS

INSTITUTIONAL RESEARCH CONCLUSION: FUNDAMENTAL & VALUATION ANALYSIS

TCS is an elite cash cow with a negative net debt balance sheet (₹40,522 Cr net cash), superior operating margin defense (24.6%–26.0%), and peer-leading ROE (51.1%). Our baseline 5-year illustrative DCF framework yields an intrinsic value of **₹2,113.89 per share** under conservative macro assumptions. At current market prices (CMP ₹3,850.00, ~30.3x P/E), the stock trades at an embedded franchise premium inline with its 5-year historical average of 29.5x P/E, reflecting market expectations of persistent multi-decade reinvestment and dividend distribution. Investors should monitor

quarterly TCV bookings ($8B–$10B threshold) and BFSI discretionary budget recovery as key indicators of medium-term earnings trajectory.

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